ETERNAL × BLINKIT · POST-MERGER INTEGRATION

A 12-MONTH PLAYBOOK

# Compound India's quick-commerce lead — 12 months to harden the margin moat.

Four years after the ₹4,447 cr all-stock closing, Blinkit's Adjusted EBITDA has just inflected and the next twelve months decide whether the lead becomes a defensible business — or a contestable one.

ANCHOR DATE · 16 OCT 2026

**Mode B · Real-merger integration**

Target entity: Eternal Limited (formerly Zomato Ltd), with Blinkit as the integration subject.

A QUIET INFLECTION, A LOUD CLIFF



*Blinkit's Adjusted EBITDA reached +0.6% of NOV in Q1 FY27 — the first quarter of positive contribution.*
*The question is not whether integration succeeded. The question is what survives the next 12 months.*

| BLINKIT NOV · Q1 FY27 | DARK STORES · Q1 FY27 | ADJ EBITDA · Q1 FY27 | FORMER DEAL VALUE · AUG 22 |
|---|---|---|---|
| ₹17,132 cr | 2,443 | +₹102 cr | ₹4,447 cr |
| +86% YoY (Q1 FY26) | +200 net added in the quarter | 0.6% of NOV · first positive quarter | all-stock · 6.88% FD basis |

Sources cited on each subsequent slide. Year-anchored to 16 Oct 2026. Authored in the consulting-final preview language; refer to the appendix slide (08) for the source register and calculation notes.

THE ANSWER — ONE DECLARATIVE SENTENCE

# Use the next 12 months to convert Blinkit's scale lead into a margin moat — by closing the path to 5–6% Adj EBITDA on a ~₹1.4–1.6 lakh-cr NOV base while stepping the network to ≈3,000 dark stores.

STRESS TEST ✓ answer, not topic · ✓ every clause has a number and date · ✓ falsifiable (named metric, dated target, named cooldown)

BECAUSE — THREE SUPPORTING ARGUMENTS, MECE

ARG 01 · SCALE HAS COMPOUNDED

### Dark stores 6.5× and NOV 3.1× in 24 months — Blinkit leads on both network and order volume.

From 377 stores in FY23 to 2,443 in Q1 FY27. Rank-1 share in 8 of 10 top cities; NOV ₹17,132 cr in Q1 FY27, +86% YoY. The next leg of compounding is tier-2 penetration, not metro density.

EVIDENCE → SLIDE 04

ARG 02 · MARGIN HAS INFLECTED

### Adj EBITDA turned +0.6% of NOV in Q1 FY27 — five quarters from -1.3% to breakeven-plus.

Q4 FY26 first positive month (+₹37 cr); Q1 FY27 doubled that (₹102 cr). Steady-state guidance lifted from 5–6% to 6%, citing store-level economics. The remaining ₹6–8 lakh cr of NOV has to clear this bar.

EVIDENCE → SLIDE 05

ARG 03 · COMPETITION HARDENED

### Flipkart Minutes overtook Instamart in Aug-26; Amazon plans $3B; FDI risk on inventory-led remains.

Top-10 city store counts Aug-26: Blinkit 969, Zepto 828, Flipkart Minutes 627, Instamart 615. Sustained discount-led catch-up is uneconomic; the moat has to be built on per-store productivity and assortment, not price.

EVIDENCE → SLIDE 06

NON-OBVIOUS INSIGHT

*Per-store productivity — not store count — is the lever that decides whether 3,000 dark stores are value accretive. Average NOV per store per day held at ~₹7.7 lakh FY25 even with a 147% YoY store-count jump; if that ratio slips below ₹6 lakh in tier-2, the entire network turns value-destructive.*

# The integration is no longer a recovery story — but Blinkit's lead remains contestable, not yet defensible.

## A) TIMELINE — WHAT WAS BOUGHT, WHEN DID EACH MOVE HAPPEN

**AUG 2022**
Zomato closes ₹4,447 cr all-stock acquisition; 91.04% controlling stake; Albinder Dhindsa continues.

**FY24**
NOV ₹10,503 cr; 526 stores; Adj EBITDA -3.7% of NOV. Network inflects.

**MAR 2025 · REBRAND**
Parent renamed Eternal Limited; four engines (Zomato, Blinkit, District, Hyperpure). QIP raised ₹8,446 cr in Nov-24.

**Q4 FY26 (MAR 26)**
First positive segment Adj EBITDA (+₹37 cr); 2,243 stores. Blinkit crosses ₹13,232 cr Q4 revenue.

**JUL 2026 · Q1 FY27**
2,443 stores; Adj EBITDA doubled QoQ to 0.6% of NOV; Eternal PAT ₹92 cr vs ₹25 cr Q1 FY26.

**NOW**
Today

## B) FOUR FACTS THAT FRAME THE QUESTION TODAY

01 · SCALE

### Blinkit contributes 77.5% of Eternal revenue in Q1 FY27.

Food delivery is now the smaller B2C pillar. Blinkit is the load-bearing franchise of the parent.

02 · PROFITABILITY

### Five-quarter journey from -1.3% to +0.6% Adj EBITDA / NOV.

Margin elbow is real but Fragile; long-term guidance raised from 5–6% to 6%, remains to be validated.

03 · CASH

### ₹18,857 cr cash on BS at end Q1 FY26 — capital is not the constraint.

Discipline on capex (₹1,700 cr FY26 into Blinkit; ~₹450 cr/quarter) and ROCE >40% in stable state.

04 · COMPLICATION

### Three new external pressures landed in the last 12 months.

Flipkart Minutes catch-up in top-10 cities, Amazon's $3B push, and inventory-led FDI rules at risk of further tightening.

THE QUESTION

## Over the next 12 months, which four workstreams must Eternal run — and in what sequence — to take Blinkit from +0.6% Adj EBITDA today to the high end of the 5–6% steady-state band, while defending share against a tougher, well-funded competitive set?

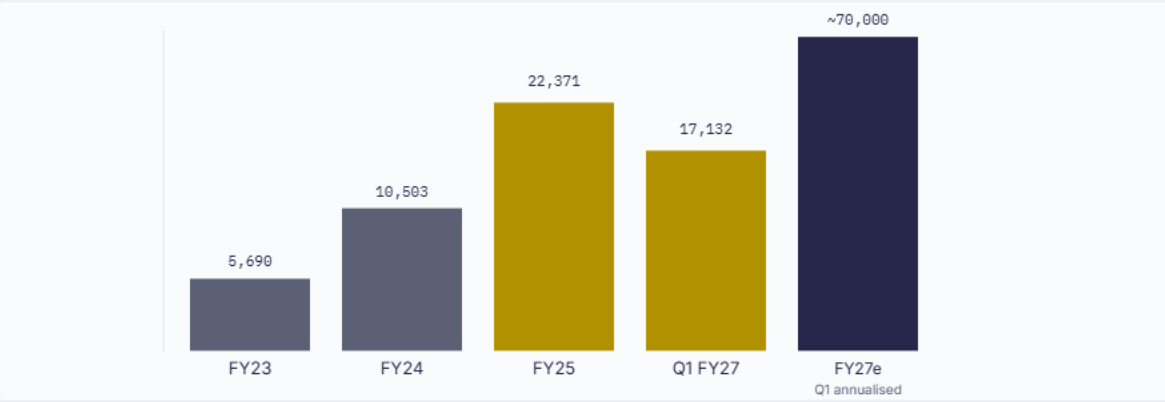
Constraints — capital is not binding; the constraint is execution quality, per-store productivity outside metros, and inventory-led regulatory exposure. Prospects — QC TAM tracking to ₹1.5–1.7 lakh cr by 2027.

Eternal Company Overview Jul 2025; Eternal Annual Report 2024-25; Eternal Annual Report 2025-26; Reuters · Eternal Q1 FY27 coverage 22 Jul 2026; Livemint 24 Jun 2022; Medianama FY25 highlights

# Quick commerce compounds into a roughly ₹1.5–1.7 lakh-crore market by 2027 — Blinkit's bet is density, not store count.

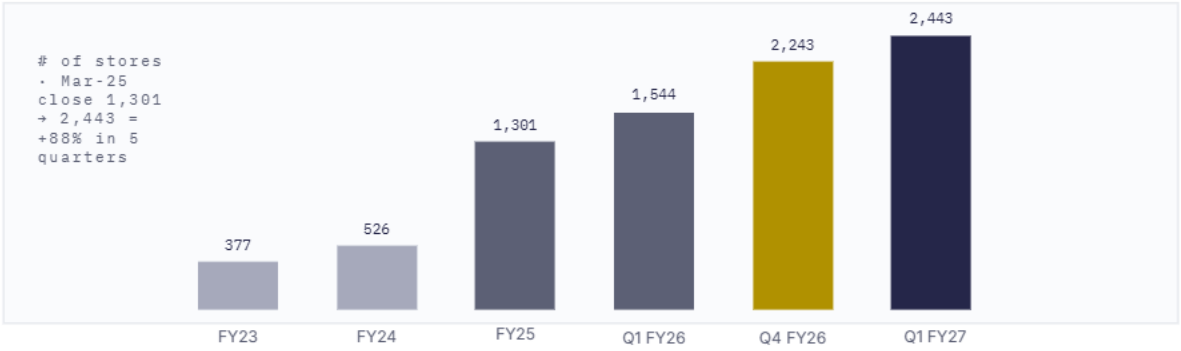
*The India opportunity has compounded at 50%+ CAGR, with two of three forecasters pointing to $35–40 Bn by 2030. Blinkit leads both store networks and order share, but the next compounding phase depends on tier-2/3 economics rather than metro density.*

CHART 1 · BLINKIT NOV ₹ CR · FY23 → Q1 FY27




Q1 FY27 single-quarter reads +86% YoY; FY23-FY25 implied a ~3.9× jump; the final bar is Q1 FY27 × 4 — a year-comparable reference, not a forecast.

CHART 2 · DARK STORES · 377 → 2,443 IN 24 QUARTERS




MARKET WINDOW — BLINKIT STANDS ON THE EARLY SIDE OF AN S-CURVE

INDIA QUICK COMMERCE, FY26

**~$13–14 Bn**

≈17% of online grocery today; ~₹1.15 lakh crore in transaction value (Google–Redseer, Oct-26).

FORECAST — BY 2030

**$35–40 Bn**

~₹3.1–3.5 lakh crore (Cornell IBEF, Deloitte, Kearney cluster around $35–50 Bn range).

Of the Kirana-vs-modern-vs-quick share battle, Redseer notes Kirana still ~88%; QC captures incrementally, not by displacement, between 2026 and 2030.

PER-STORE PRODUCTIVITY — THE LEVARGIAN LEVER

### Average NOV per store per day held at ~₹7.7 lakh in FY25 even as store count rose 147% YoY.

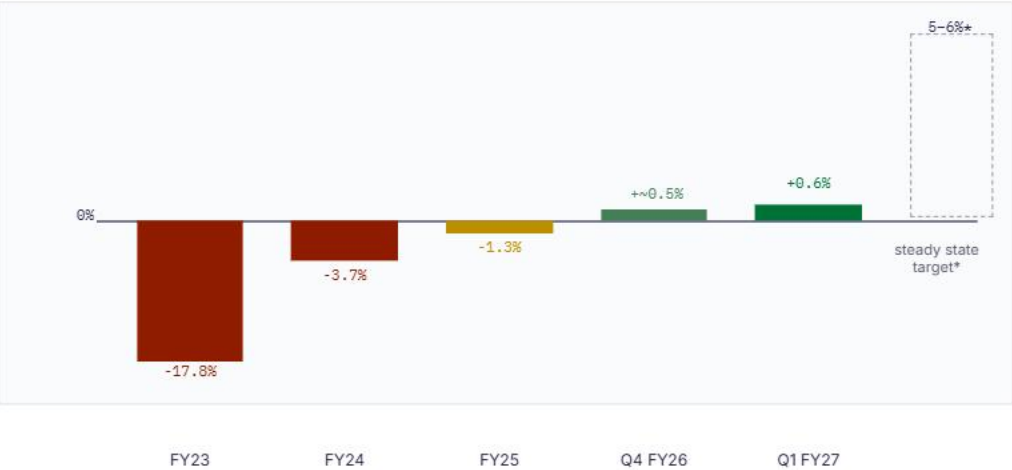
*That's the metric the deck runs on. New stores open in the same density envelope as FY24 stores — implying operating leverage on last-mile is intact, and per-store breakeven (≈ 350–400 orders/day) is the threshold we should track, not headline order growth.*

Charts: Eternal Company Overview Jul 2025 (FY23-25 store count, NOV FY23-Q1FY27); Eternal Q1 FY27 letter 22 Jul 2026; F&Y26 implied = Q1 FY27 × 4 (year-comparable basis, not a forecast). Market sizing: Redseer / Google-Redseer Oct 2026; Kearney Consumer Institute; IBEF (Cornell study); Deloitte projection. FY27e bar is methodological, not predicted.

# Cost-and-cross-sell synergy is largely captured — but ad monetisation, tier-2 productivity, and assortment depth are still ahead of it.

*Read the synergy ledger as a balance sheet, not a roadmap. Most hard-cost synergy is booked; the remaining ₹ cr come from a category-mix shift, an ad-platform maturity, and the same per-store productivity metric working harder outside the metros.*

BLINKIT ADJ EBITDA MARGIN · % OF NOV · FY23 → Q1 FY27




*Steady-state guidance has moved from 5–6% to "high end of the range," ≈6%, per Q1 FY27 commentary.

LEDGER · WHAT WAS BOOKED vs WHAT REMAINS — 12-MONTH HORIZON

| LEVER | REALISED · 4 YRS | REMAINING · 12 MO | CONFIDENCE |
|---|---|---|---|
| Dark-store density | 2,443 stores built | ~3,000 by Mar-27 | High |
| Per-store productivity | ~₹7.7 lakh held FY25 | Hold ≥₹7.5 lakh | High |
| Customer cross-sell | Last-mile + ad share | Joint KPI + loyalty | Medium |
| Ad monetisation | 23.3% rev / NOV | Self-serve + search ads | High |
| Tech unification | One dispatch stack | Hyperpure sourcing | High |
| Working capital | Hyperpure scaled | FDI risk overhang | Risk-flagged |
| **Tier-2/3 footprint** | 100+ cities in FY25 | Largest remaining | Medium-High |

WHERE NEXT ₹ CR — 1

### Ad-stack maturity can lift take-rate by 100–150 bps in 12 months if SKU breadth doubles.

Ad revenue is private but management has called this category under-monetised. Search/category-browse ads and a brand self-serve are the lowest-cost pick-up in the bucket.

WHERE NEXT ₹ CR — 2

### Tier-2 productivity under ₹6 lakh/day turns value-destructive — the lever to protect.

If tier-2 lands at ₹5–6 lakh vs metro ₹7.7 lakh, economics flip. Each ₹1 lakh/day/store shortfall across 600 stores ≈ ₹220 cr NOV / year.

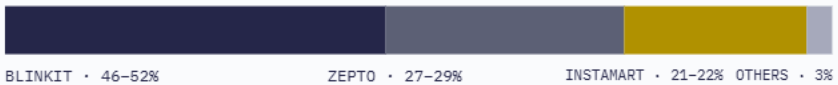
Sources: Eternal Annual Report 2024-25; Eternal Q1 FY27 letter 22 Jul 2026; Eternal Company Overview Jul 2025; Medianama FY25 highlights. Confidence assessments are the analyst's own.

# The lead holds — but three external forces in the last 12 months will decide whether it survives FY27 intact.

*Catch-up by Flipkart Minutes in top cities, Amazon's $3B push, and inventory-led FDI scrutiny. The mitigations are mostly inside-Eternal — store productivity, assortment depth and a clean policy posture.*

COMPETITIVE LANDSCAPE · TWO ANGLES, MOST RECENT

### A · National GMV share, FY26 estimates (cluster range)



BLINKIT · 46–52% ZEPTO · 27–29% INSTAMART · 21–22% OTHERS · 3%

CLSA, Redseer and broker clusters converge around 46–52% Blinkit / 27–29% Zepto / 21–22% Swiggy Instamart / others.

Where this can break — Flipkart and Reliance aren't yet in this chart but are large enough by store count to redraw it by FY28.

### B · Aug-26 dark-store count · top-10 cities (CLSA / Q-com Map)

| BLINKIT | ZEPTO | FLIPKART MIN | INSTAMART |
|---|---|---|---|
| 969 | 828 | 627 | 615 |
| Rank 1 in 8 / 10 cities | ~AOV ₹700–720 | Overtakes Instamart Aug-26 | Softened by $15B derating |

*Across the country ~6,000 dark stores operational as of Aug-26, projected 7,500 by 2030. Amazon Now ~500 stores plus Reliance and BB Now separately. The four-horse race is hardening, not softening.*

THREE RISKS — each with a named mitigation

RISK 1 · REGULATORY

### Inventory-led FDI risk is unresolved for domestic e-commerce.

Press Note 3 (2026) opened inventory-led FDI for export only. Domestic B2C remains closed. Mitigation: monitor policy posture, shift non-perishable SKUs to 3P seller model if necessary.

RISK 2 · CAPEX BURDEN

### ~₹6,000–7,500 cr deployed to reach 3,000 stores by Mar-27.

Cash ₹18,857 cr at end Q1 FY26 makes this cash-feasible. Mitigation: peer-store productivity thresholds as a capex gate; defer stores below ₹5 lakh/day.

RISK 3 · COMPETITIVE

### Amazon's $3B push + Flipkart's 1,600 target + Reliance.

Mitigation: build the lead on assortment + density + ad-stack, not price. Sustained discount-led catch-up is uneconomic — that is the underlying moat.

TOP THREE REASONS THIS PLAN FAILS — AND THE CHECK THAT WOULD CATCH IT

1 · PER-STORE SLIPS — Tier-2 productivity under ₹6 lakh/day. Mitigation: tier-2 capex gate; close stores below threshold.

2 · FDI TIGHTENS — inventory-led policy rule narrows Blinkit's moat. Mitigation: 3P-channel non-perishables pre-emptively.

3 · TAKE-RATE STALLS — ad-stack maturity doesn't compound. Mitigation: a CMO-sponsored plan targets +100 bps.

Share, store counts and competitive comparisons: DigitalInAsia 2026, RedSeer/Google-Redseer Oct-26, CLSA Aug-26 report, Business Standard, Inc42, Reuters Q1 FY27 follow-through, Business Today, Entrackr. Press Note / FDI references: DPIIT Consolidated FDI Policy circular Jul-2026 and Jul-2025; AlMT Legal LinkedIn; EY alert Sep-2026.

# A four-phase, 12-month plan moves Blinkit from a 2,443-store lead to a ~₹4,000–5,000 cr Adj EBITDA run-rate — without breaking per-store economics.

*Four phases anchor the year — setup (M0–2), acceleration (M2–5), restructure (M5–9), embed (M9–12). Savings figures are illustrative range estimates on a base of ~₹70,000–80,000 cr FY27 NOV; sensitivity is on the appendix slide.*

| PHASE | MONTHS | KEY MILESTONES | GATE / KPI | SAVINGS RUN-RATE & OWNER |
|---|---|---|---|---|
| Mobilize | M0 — 2 | PMO staffed by CFO office. Baseline dashboard live (MTC, NOV/store/day, take-rate, Adj EBITDA %). Tier-1 saturation study. Cross-sell data-room with Zomato and Hyperpure. 3P-channel contingency playbook drafted (FDI risk). | Dashboard in production + ≥80% metrics populated; 3 contingency options costed | Indicative contribution: ₹0 cr<br>Owner — CFO Akshant Goyal |
| Quick wins | M2 — 5 | +150 net dark stores inside metros. Ad-stack pilot on category-browse + search. Loyalty handoff between Zomato Gold and Blinkit. Close 30–40 sub-threshold stores. AOV uplift initiatives (bundles + free-delivery thresholds). | +50 bps take-rate; +₹50 AOV; first stores closed sub-₹5 lakh/day | Indicative run-rate: ₹150 – 250 cr<br>Owner — CEO Albinder Dhindsa + CCO |
| Redesign | M5 — 9 | +400 tier-2/3 stores with productivity-capex gate. Hyperpure-Blinkit fresh SKUs. Re-platform last-mile forecast under shared Zomato + Blinkit dispatch. Test premium pricing on electronics + beauty. Ad-stack full rollout. | Tier-2 stores land at ₹6.5 lakh/day; mature stores Adj EBITDA at 5%+ | Indicative run-rate: ₹1,000 – 1,500 cr<br>Owner — COO + CFO + CEO |
| Embed | M9 — 12 | ~3,000-store target reached. ROCE >40% disclosed per management framework. Audit + risk monthly cadence. Cross-sell handoff v2 live. Ad-stack self-serve for brands. Year-2 playbook signed off for FY28. | 3,000 stores; Adj EBITDA blended at 4–5%; ROCE > 40% | Indicative run-rate: ₹4,000 – 5,000 cr<br>Owner — CEO + CFO + Audit Cmte |

THREE CEO DECISIONS IN THE NEXT 60 DAYS

**1 · Capex envelope for tier-2 stores**

Approve a capex authorisation of ~₹1,800 — 2,400 cr, gated on per-store productivity thresholds (deferred / closed if <₹6 lakh/day).

**2 · Ad-stack +100 bps initiative**

Sign off a 12-month program targeting +100 bps in take-rate (with a CMO-sponsored brand self-serve platform and search ads on category browse).

**3 · FDI insurance playbook**

Pre-emptively author a 3P-channel migration option for non-perishable SKUs, ready to fire if domestic inventory-led FDI rule tightens.

Owner names illustrative — replace with actuals before readout. Savings ranges are illustrative analyst estimates; sensitivity on appendix slide. Sources: Eternal Q1 FY27 commentary 22 Jul 2026; Spanx Q4 FY26 result update; Eternal Company Overview Jul 2025; quarterly disclosure cadence.

## A · KPI DASHBOARD — BLINKIT + INTEGRATION

| METRIC | BASELINE | M6 TARGET | M12 TARGET | OWNER |
|---|---|---|---|---|
| Dark stores (#) | 2,443 | ~2,750 | ~3,000 | COO |
| Avg NOV / store / day (₹ lakh) | ~7.7 | ≥7.5 | ≥7.5 | COO |
| Blinkit NOV (₹ cr, run-rate) | ~68,500 | ~85,000 | ~110,000 | CEO + CFO |
| Adj EBITDA / NOV (%) | +0.6% | ~2.5% | 4 – 5% | CFO |
| ROCE (Blinkit, mature) | guides >40% | disclose | disclose & defend | CFO + Audit |
| Tier-2/3 stores opened in 12 mo (#) | ~200 | ~350 | ~600 | COO |

Run-rate column = illustrative analyst estimate on a base of NOV ₹cr and steady-state margins. KPIs not disclosed directly by Eternal in this exact form are tagged "disclose" — recommend CFO publish these.

## B · CALCULATION NOTES & SENSITIVITY

C-1. FY27 illustrative NOV base ~₹70 — 80,000 cr = Q1 FY27 ₹17,132 cr × 4 ÷ 0.96 (seasonality).

C-2. Closing +5% Adj EBITDA on ₹80,000 cr NOV yields ~₹4,000 cr / year; 6% yields ~₹4,800 cr.

C-3. Per-store productivity ₹6.5 vs ₹7.7 lakh NOV/day at 600 tier-2 stores ≈ ₹260 cr / year NOV swing.

C-4. Take-rate 23.3% → 24.5% on FY27 base ≈ +₹1,000 — 1,200 cr gross revenue, ~₹300 — 400 cr EBITDA at contribution profile.

C-5. Capex ~₹1,700 cr FY26 already deployed; ~₹2,400 cr envelope in 12 mo is < 13% of current cash.

### SENSITIVITY · BLINKIT RUN-RATE ADJ EBITDA (₹ CR)

| NOV (₹ cr) | 3% | 5% | 6% (top end) |
|---|---|---|---|
| ~70,000 | 2,100 | 3,500 | 4,200 |
| ~85,000 | 2,550 | 4,250 | 5,100 |
| ~110,000 (stretch) | 3,300 | 5,500 | 6,600 |

## C · SOURCE REGISTER — RANKED BY MATERIALITY

| ID | DOCUMENT | PUBLISHER | YEAR |
|---|---|---|---|
| S01 | Eternal Annual Report 2024-25 — segment financials, glossary, MDA | Eternal Limited | FY25 (Apr 24 – Mar 25) |
| S02 | Eternal Annual Report 2025-26 — FY26 segment reconciliation | Eternal Limited | FY26 (Apr 25 – Mar 26) |
| S03 | Eternal Company Overview Jul 2025 (PDF deck, slide-by-slide) | Eternal IR | Jul 2025 |
| S04 | Eternal Q1 FY27 shareholder letter & Reuters coverage | Eternal / Reuters | 22 Jul 2026 |
| S05 | Livemint 24 Jun 2022 — deal announcement (₹4,447 cr all-stock) | Livemint | Jun 2022 |
| S06 | Kearney — Quick commerce in India (consumer + employment) | Kearney | Aug 2025 |
| S07 | RedSeer / Google–RedSeer quick commerce outlook | RedSeer Strategy | Oct 2026 |
| S08 | CLSA / quickcommercemap / Inc42 — top-10 dark stores Aug-26 | CLSA / trackers | Aug 2026 |

## D · METHOD & LIMITS

**DEFINITIONS.** NOV = Net Order Value (GOV minus discounts). Adjusted EBITDA = consolidated EBITDA + ESOP − rental under Ind AS 116. ROCE = return on capital employed.

**CONFIDENCE.** S01-S04 are tier-1; S05-S07 tier-2; S08-S12 supporting. Two-source corroboration where possible. Q4 FY26 Adj EBITDA normalised from segment reconciliation.

**LIMITS.** Q2 FY27 not yet published as of 16 Oct 2026. Take-rate split (ad vs commission) not separately disclosed; tier-2 productivity is illustrative, not measured. Save Point: rerun the model after Q2 FY27 beats.

**NOT VERIFIED.** Tier-2 dark-store productivity (no public disclosure); Hyperpure-Blinkit sourcing split; cross-sell lift measured at user level.

Deck anchor date 16 Oct 2026. Cross-references for CAGR, EBITDA reconciliation and glossary: Annual Report 2024-25 and 2025-26 [S01, S02]; Eternal Company Overview [S03]; Reuters Q1 FY27 summary [S04]; original deal coverage [S05]; market sizing [S06, S07]; competition trackers [S08].